

complaint

Mr and Mrs C complain that Legal & General Insurance Limited wrongly declined a claim under their home insurance policy.

background

Mr and Mrs C have a home insurance policy underwritten by Legal & General.

In November 2017, they discovered a water leak in their kitchen. They identified the source - their dishwasher. And they say they took steps to prevent any further escape of water by not using the dishwasher.

They didn't make a claim to Legal & General until the end of January 2018. They say this was because they didn't realise they could make a claim until a discussion with family members in January.

Legal & General declined the claim. They said water had continued to escape between November, when the leak was spotted, and January, when the claim was made – because Mr and Mrs C continued to use their dishwasher. And they said Mr and Mrs C had not taken reasonable action to mitigate their losses after the leak was discovered.

Mr and Mrs C made a complaint to Legal & General which wasn't upheld, so they complained to us. Our investigator looked into it and thought the complaint should be upheld – and Legal & General should re-consider the claim.

Legal & General disagreed and asked for a final decision from an ombudsman.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

When considering what's fair and reasonable in the circumstances I need to take into account relevant law and regulations, regulators' rules, guidance and standards, codes of practice and, where appropriate, what I consider to have been good industry practice at the time.

Mr and Mrs C's policy clearly states that the buildings are insured against escape of water (at Section 1, paragraph 7).

However, there are exceptions, set out at Section 14. These include:

"Your insurer will not pay for:...
...3. Gradually operating cause.
Any loss, damage or liability arising from wear and tear or damage that happens gradually over time."

And there are conditions, set out at Section 15, which include the following:

"3. You must take all reasonable steps to safeguard your buildings, contents or personal property against loss or damage and to prevent accidents. If loss or

damage does occur, you must take all reasonable steps to prevent further loss or damage.”

There’s no dispute in this case that Mr and Mrs C discovered an escape of water in November 2017 – and that they made a claim in late January 2018.

What I need to consider is what happened between those dates.

Mr and Mrs C say that as soon as they discovered the source of the leak – the dishwasher – they stopped using it. They say this prevented any further escape of water – and any further damage to their property.

Legal & General say Mr and Mrs C *did* continue to use their dishwasher. They say this means the cause of any damage was gradual – in other words, it was caused by leaks of water from the dishwasher over a prolonged period of time.

They also say this means Mr and Mrs C didn’t take reasonable steps to prevent further loss after they discovered the cause of the leak in November 2017 – at least not until they made their claim at the end of January 2018.

And because they believe the cause was gradual and Mr and Mrs C didn’t prevent further damage, Legal & General declined the claim.

When a consumer makes a claim, the onus is on them to show that, on the balance of probabilities, an insured event caused the damage (it’s not on the insurer to show that it didn’t). But, when an insurer wants to apply an exclusion or say a condition has not been met and so decline a claim, the onus is on them to show, on the balance of probabilities, that the exclusion or condition applies.

So, if Legal & General can show on balance they are right about *either* the escape of water being gradual *or* Mr and Mrs C failing to take reasonable steps to prevent any damage getting worse, then they are entitled to decline the claim.

My decision in this case hinges on what’s most likely to have happened after Mr and Mrs C discovered the escape of water

They say it took a short while to identify the cause as the dishwasher, but as soon as they did so, they stopped using it. If so, the escape of water may not be gradual – because it happened over a short period of time. And they took reasonable steps to prevent further loss as soon as they discovered the problem.

We would usually say it would be unfair for an insurer to rely on a ‘gradual damage’ exclusion if the consumer couldn’t reasonably have known the escape of water was happening and if they did something about it as soon as they could.

Legal & General suggest that Mr and Mrs C continued to use the dishwasher even after they discovered the problem – and so the escape of water was gradual and Mr and Mrs C didn’t take steps to prevent further damage.

Legal & General rely on evidence provided by their loss adjustor, who reported that when they visited the property in March 2018, there were dirty dishes stacked in the dishwasher. It’s extremely unlikely these had been left there since the previous November.

They say the damage reported – to kitchen flooring tiles and unit doors – is evidence of a gradual or prolonged escape of water. They question why Mr and Mrs C didn't report having to wash dishes by hand for three months. And they think that if Mr and Mrs C's explanation of how they identified the dishwasher as the problem – because it was tripping the electricity supply when it was turned on – is true, then they would have called an electrician to deal with the problem.

Mr and Mrs C deny there were dirty dishes in the dishwasher when the loss adjustor carried out the inspection. They queried why photographs weren't taken of this vital evidence, given that a large number of other photographs were taken of the damaged areas.

They believe the damage is compatible with an escape of water of short duration, given that the water then remained under their kitchen flooring for a period of time. And they point out that Mr C was a plumber and was capable of un-plumbing and isolating the dishwasher so that there were no further issues with the electricity.

On balance, I am inclined to believe Mr and Mrs C's version of events. I'll explain why.

Legal & General are asking me to believe that Mr and Mrs C knew their dishwasher was causing an escape of water, but continued to use it – rather than make a claim and/or get it repaired or replaced – for three months.

I can't see what their motivation to do that would have been. If that were the case, they'd have known they were causing damage to their property, but gone ahead and used the dishwasher nonetheless. That would be self-defeating, particularly in light of the fact that they couldn't guarantee any future claim would be settled.

As Mr C has also pointed out, the key to identifying the cause of the leak was the electric supply cutting out. And when Mr C investigated he found water leaking on to the dishwasher's electric wiring. That being the case, Mr and Mrs C would have known they were risking electrocution by continuing to use the dishwasher.

So, on balance, I don't think it's likely the dishwasher was used after it was identified as the source of the escape of water.

There are two versions of events that flatly contradict each other here. But Legal & General have not been able to provide clear evidence that the dishwasher continued to be used – and, as I've mentioned above, it is for them to prove that an exclusion or condition applies. And ultimately, it's very difficult to see what possible motivation Mr and Mrs C could have had for continuing to use it after it was found to be the source of the escape of water.

That being the case, I don't think it's fair for Legal & General to decline this claim on the basis that the escape of water was gradual (between November 2017 and January 2018). And I don't think they can decline it on the basis that Mr and Mrs C didn't meet the condition which required them to prevent further losses or damage once the problem was discovered.

my final decision

For the reasons set out above, I uphold Mr and Mrs C's complaint.

Legal & General Insurance Limited should re-consider the claim in line with the remaining policy terms. And they should not decline it by relying on the exclusion relating to gradually operating causes or the condition relating to the insured's obligation to prevent further damage.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs C to accept or reject my decision before 30 December 2018.

Neil Marshall
ombudsman